

THE WALL STREET JOURNAL.

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DJIA 44627.59 ▲ 71.25 0.16% NASDAQ 20056.25 ▲ 0.1% STOXX 600 552.10 ▼ 0.9% 10-YR. TREAS. ▲ 2/32, yield 4.535% OIL \$72.25 ▲ \$0.40 GOLD \$2,919.40 ▼ \$12.20 EURO \$1.0424 YEN 151.48

What's News

Business & Finance

◆ **Electric-truck maker** Nikola, which briefly boasted a market value above Ford's before its founder was charged with fraud, filed for bankruptcy after struggling with high costs and a trucking industry reluctant to abandon diesel engines. **A1**

◆ **Fed officials were** broadly comfortable with their decision to hold interest rates steady at their meeting last month and appeared in no hurry to modify that stance, minutes show. **A2**

◆ **Major U.S. stock indexes** rose, with the S&P 500 and Dow industrials both gaining 0.2% and the Nasdaq adding less than 0.1%. **B10**

◆ **Apple unveiled the** iPhone 16e, an update to a budget-friendly version of its flagship device that incorporates the company's first in-house cellular chip. **B1**

◆ **Support among** asset managers for shareholder action on climate, human-rights and diversity issues has fallen as companies retreat from those areas. **B1**

◆ **Bill Ackman's** Pershing Square submitted a new, nonbinding \$900 million offer for a bigger stake in Howard Hughes Holdings. **B1**

◆ **HSBC said it plans** a new share buyback and cost cuts as its chief executive concentrates on streamlining the lender. **B1**

◆ **Glencore said it is** reviewing its London listing as it reported a fall in 2024 earnings and said it would return around \$2.2 billion to shareholders. **B3**

◆ **Philips reported** a swing to a fourth-quarter net loss on the back of a tax charge, and said comparable sales rose in line with guidance. **B3**

World-Wide

◆ **The feud between** the U.S. and Ukrainian leaders escalated, with Trump calling Zelensky a "Dictator without Elections" and Zelensky accusing his American counterpart of repeating Russian propaganda. **A1**

◆ **Denmark plans to** significantly increase its military spending as the Russian threat to Europe grows and Trump demands allies pay more for their security. **A6**

◆ **A federal judge** questioned the Justice Department's move to dismiss the bribery case against New York City Mayor Eric Adams, saying he wanted to better understand the "unusual situation." **A3**

◆ **Kash Patel, Trump's pick** for FBI director, stands to make millions of dollars from stock he holds in Shein's parent company when Elite Depot goes public as soon as this year. **A4**

◆ **Trump's nominee** to lead the Labor Department spent much of a confirmation hearing walking back her support for a bill that would make it easier for workers to unionize. **A4**

◆ **Israel's military** said it indicted five reservists on charges of assault and severely injuring a Palestinian detainee held at a detention facility in southern Israel. **A5**

◆ **The U.S. formally placed** eight Latin American gangs on a list of terrorist organizations, targeting groups involved in U.S.-bound drug trafficking and human smuggling. **A3**

◆ **Transport Secretary** Sean Duffy said his department rescinded its approval of New York's congestion pricing system because it doesn't offer drivers a toll-free option. **A3**

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Israel Mourns Young Hostages, Mom



HOPES DASHED: A Tel Aviv mural depicts the Bibas family, who were kidnapped in the Oct. 7, 2023, attacks. Hamas said it would release the bodies on Thursday of Ariel, who was 4 when he was taken, and baby Kfir, along with those of their mother, Shiri, and another hostage. **A5**

Onetime Market Darling Nikola Files for Chapter 11

Electric-truck maker Nikola, which briefly boasted a market value above Ford Motor before its founder was charged with fraud, filed for bankruptcy af-

By Bob Tita,
Soma Biswas
and Colin Kellaher

ter struggling with high costs and a trucking industry reluctant to abandon diesel engines.

Nikola said it plans to wind down operations. Its rapid rise,

with investors embracing the promise of environmentally friendly vehicles, was followed by a steep decline as the company stumbled trying to fulfill the lofty promises of its founder and former chief executive, Trevor Milton.

Now a penny stock, Nikola filed for chapter 11 on Wednesday in a Wilmington, Del., court, joining other Tesla imitators that have run out of road before their zero-emissions visions were realized. The Wall

Street Journal reported earlier this month that Nikola was nearing a bankruptcy filing.

"Like other companies in the electric-vehicle industry, we have faced various market and macroeconomic factors that have impacted our ability to operate," said Steve Girskey, Nikola's chief executive. "Unfortunately, our very best efforts have not been enough to overcome these significant challenges."

Nikola rode a green-invest-

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Tariffs Scramble Automaker Reliance On U.S.

By STEPHEN WILMOT

Facing intense competition in China and heavy regulation in Europe, overseas automakers were counting on the U.S. to keep their engines humming. Then came President Trump's tariffs threats.

Since taking office, the U.S. president has taken aim at the \$918 billion U.S. trade deficit with a raft of tariff proposals, including a 25% tax on shipments from Mexico and Canada, reciprocal tariffs based on other partners' own trade restrictions and specific tariffs for sectors such as autos and semiconductors.

On Tuesday, Trump said the sector tariffs could be "in the neighborhood of 25%" and might rise even higher over time. A grace period could give companies time to bring production onshore, he added.

In response, automakers from Europe and Asia have been gaming out alternative manufacturing plans to remain competitive in a market that has become increasingly important.

"Things keep changing minute by minute, but our stance is to stay flexible and be able to be agile in reacting to the situation," Honda Executive Vice President Shinji Aoyama said last week.

Trump, a Republican, has long railed against auto imports, particularly from Europe. The European Union's 10% tariff on imported cars,

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INSIDE



PERSONAL JOURNAL
Pressure is building as fliers forget their manners in the fight for overhead bins. **A9**

French Tycoon Works Ties To Spare His Luxury Empire

LVMH chief Bernard Arnault has known Trump for decades. Can he leverage those family bonds to fend off new tariffs?

By NICK KOSTOV AND STACY MEICHTRY

The day after President Trump survived an assassination attempt in Pennsylvania last summer, he received a call from a familiar French voice. It was Bernard Arnault, owner of the globe-spanning luxury empire LVMH.

Arnault wanted to check in on the man he had known for decades. Trump was also in the middle of a fierce presidential campaign,

as well as several criminal proceedings.

The phone call from Arnault sent a clear signal: The luxury titan was sticking with Trump through thick and thin.

With Trump now in office and warning of steep tariffs on European goods, the question is whether Arnault can leverage his connection to keep his luxury conglomerate out of any trade wars. Tariffs would be a blow to Arnault's empire, whose largest market is

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